

1.

| CASE #      | CASE NAME                               | HEARING NAME                 |
|-------------|-----------------------------------------|------------------------------|
| CVME2600011 | SHU VS LENNAR HOMES OF CALIFORNIA , LLC | MOTION TO COMPEL ARBITRATION |

**Tentative Ruling:** Motion **GRANTED**.

Moving party: Defendant Lennar Homes of California, Inc.

Responding party: Plaintiff David Shu [Pro Per]

Motion filed: 6/25/2026

Opposition filed: 7/21/2026

Reply filed: 7/28/2026

### **Analysis**

#### **Motion to Compel Arbitration**

Under CCP § 1281.2, the Court shall order arbitration if it determines that: (1) a written agreement to arbitrate the controversy exists; (2) the claims fall within the scope of the arbitration agreement; and (3) the party opposing arbitration refuses to arbitrate. (*Mar v. Perkins* (2024) 102 Cal.App.5th 201, 210–11.) The party seeking to compel arbitration bears the burden of proving by a preponderance of the evidence that an agreement to arbitrate exists. (*Id.* at 211.) The party opposing arbitration bears the burden of proving affirmative defenses such as waiver or unconscionability. (*Id.*) The Court shall not order arbitration if it determines that “[t]he right to compel arbitration has been waived by the petitioner.” (CCP § 1281.2(a).)

Defendant moves to compel arbitration of Plaintiff’s construction defect claims under the CC&Rs, and to stay the action pending completion of the arbitration. Plaintiff opposes, arguing that Defendant waived arbitration, that the AAA-only provision is unconscionable, and that the CC&Rs do not govern this single-family homeowner dispute.

#### **1. Federal Arbitration Act**

The Federal Arbitration Act (“FAA”) generally governs arbitration in written contracts involving interstate commerce and authorizes the enforcement of arbitration clauses unless there are legal or equitable grounds to revoke the contract. (9 U.S.C. § 2.) To promote uniformity in determining the arbitrability of disputes under the FAA, conflicting state laws are preempted by the Supremacy Clause. (*Southland Corp. v. Keating* (1984) 465 U.S. 1, 12.) The burden is on the party claiming that the FAA applies to prove that the underlying transaction affects interstate commerce. (*Woolfs v. Sup. Ct.* (2005) 127 Cal.App.4th 197, 211–14.) That burden may be satisfied where the arbitration agreement itself expressly designates FAA governance. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355; *Aviation Data, Inc. v. Am. Express Travel Related Servs. Co.* (2007) 152 Cal.App.4th 1522, 1534–35.)

Here, Section 15.5.5(a) of the CC&Rs expressly provides that covered disputes “shall be submitted to binding arbitration as provided by the Federal Arbitration Act (9 U.S.C. §§ 1 *et seq.*) and not by or in a court of law or equity.” (Mitzel Decl. ¶ 6, Ex. A; Def.’s RJN, Ex. A.) By expressly designating the FAA as the governing law, the parties subjected their arbitration agreement to federal law. This is sufficient to show that the CC&Rs’ arbitration provision is subject to the FAA. (*Victrola* 89, *supra*, 46 Cal.App.5th at 355; *Aviation Data*, *supra*, 152 Cal.App.4th at 1534–35.) As such, the FAA applies in this case.

## **2. Existence of an Arbitration Agreement**

Before granting a motion to compel arbitration, the court must determine whether a valid arbitration agreement exists. (*Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219.) While there is a strong policy favoring arbitration, “[t]here is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate and which no statute has made arbitrable.” (*Id.* at 1220.) The moving party bears the burden of presenting “prima facie evidence of a written agreement to arbitrate the controversy.” (*Rosenthal v. Great W. Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.)

Here, the CC&Rs were recorded on March 28, 2023. (Def.’s RJN, Ex. A.) The Supplementary Declaration annexing Lot 91 (the Property) to the CC&Rs was recorded on April 1, 2024. (*Id.*, Ex. B.) Plaintiff’s wife Yoon-Jo Shu took title to the Property on January 2, 2025, nearly two years after the CC&Rs were recorded. (*Id.*, Ex. C.) The Grant Deed expressly states that the grant is “subject to” the CC&Rs. (*Id.*) Plaintiff subsequently acquired title via Interspousal Transfer Deed on June 2, 2026, which expressly references the CC&Rs. (*Id.*, Ex. F; Mitzel Decl. ¶ 8, Ex. B.)

By accepting title to the Property with both constructive and actual notice of the CC&Rs (as the deeds expressly referenced them), Plaintiff impliedly agreed to the CC&Rs, including the arbitration provision in Section 15.5.5.

Section 15.5.5(a) provides:

[A]ny dispute between any Owner(s) and the Declarant or with respect to any other claim related to a Residential Lot including, without limitation, any alleged latent or patent construction or design defect in any Residential Lot or any part thereof, any alleged violation of the standards set forth in the Construction Claims Statute shall first be submitted to mediation and, if not settled during mediation, shall thereafter be submitted to binding arbitration as provided by the Federal Arbitration Act (9 U.S.C. §§1 *et seq.*) and not by or in a court of law or equity.

(Def.’s RJN, Ex. A.) “Declarant” is defined in the CC&Rs as Defendant (Lennar Homes of California, LLC). (*Id.*, Ex. A at § 1.27.) “Owner” means the “record owner . . . of any Residential Lot.” (*Id.*, Ex. A at § 1.62.) Plaintiff is the current record owner of the Property, which is identified as a Residential Lot in the Supplementary Declaration. (*Id.*, Ex. B.) On this record, the Court finds that a valid written arbitration agreement exists between Plaintiff and Defendant.

## **3. Scope of Arbitration Clause**

Under both the FAA and California law, “any doubts concerning arbitrability must be resolved in favor of arbitration.” (*Moses H. Cone Mem’l Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24.) The United States Supreme Court has held that “[a]n order to arbitrate the particular grievance should not be denied unless it may be said with positive assurance that the arbitration clause is not susceptible of an interpretation that covers the asserted dispute. Doubts should be resolved in favor of coverage.” (*AT&T Technologies, Inc. v. Communications Workers of Am.* (1986) 475 U.S. 643, 650.) At the same time, “no dispute may be ordered to arbitration unless it is within the scope of the arbitration agreement.” (*Howard v. Goldbloom* (2018) 30 Cal.App.5th 659, 663 [quoting *Titolo v. Cano* (2007) 157 Cal.App.4th 310, 317].)

Section 15.5.5(a) of the CC&Rs covers “any dispute between any Owner(s) and the Declarant or with respect to any other claim related to a Residential Lot including, without limitation, any alleged latent or patent construction or design defect in any Residential Lot or any part thereof, any alleged violation of the standards set forth in the Construction Claims Statute.” (Def.’s RJN, Ex. A at § 15.5.5(a).)

Plaintiff’s Complaint asserts five causes of action, all based on alleged construction defects, grading and drainage deficiencies, and resulting damage to the Property. (See Compl. ¶¶ 38–51.) The third cause of action expressly alleges violations of Civ. Code § 895 *et seq.*, which the CC&Rs define as the “Construction Claims Statute.” (Def.’s RJN, Ex. A at § 15.5.3.) The remaining causes of action allege design and construction defects relating to the Property. (Compl. ¶¶ 38–44, 50, 51.)

Here, the arbitration clause in the CC&Rs is susceptible to an interpretation that covers all of Plaintiff’s claims based on construction defect. The language “any alleged latent or patent construction or design defect in any Residential Lot or any part thereof” and “any alleged violation of the standards set forth in the Construction Claims Statute” directly encompasses Plaintiff’s allegations. (Def.’s RJN, Ex. A at § 15.5.5(a).)

Plaintiff argues that his claims are based on the purchase agreement, not the CC&Rs, and therefore the CC&Rs do not apply. This argument fails for two reasons. First, Plaintiff’s Complaint does not allege breach of a purchase agreement provision regarding construction quality. Rather, it alleges construction defects, statutory violations, and breach of warranty. (Compl. ¶¶ 38–51.) These are claims “related to a Residential Lot” and “arising out of or relating to alleged construction defects” within the plain language of Section 15.5.5(a).

Second, even if the purchase agreement contained warranties or obligations regarding construction, the existence of a separate contract does not vitiate the binding effect of the recorded CC&Rs. Both agreements can coexist, and where, as here, the CC&Rs contain a broad arbitration clause covering construction defect claims, that clause governs. On this record, the Court finds that all five of Plaintiff’s causes of action fall within the scope of Section 15.5.5(a) of the CC&Rs.

Based on the foregoing, Defendant has satisfied its initial burden of demonstrating the existence of a written arbitration agreement and that Plaintiff’s claims fall within its scope. The burden now shifts to Plaintiff to challenge the agreement’s enforceability.

#### 4. Waiver

Plaintiff contends that Defendant waived its right to arbitrate by: (a) engaging in court proceedings for approximately 209 days; (b) filing an Answer with 44 affirmative defenses without seeking to compel arbitration; (c) participating in discovery and providing 659 pages of documents; and (d) waiting until after receiving Plaintiff's meet-and-confer letter about discovery deficiencies to file the motion to compel.

A party may waive its contractual right to compel arbitration. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562.) A waiver will be found "when the party seeking to enforce a known contractual right has **intentionally relinquished or abandoned** that right." (*Id.* [emphasis added].) Such intentional relinquishment may be express or implied by conduct "so inconsistent with an intent to enforce the contractual right" to arbitrate. (*Id.* at 584.)

Courts consider factors including: (1) whether the party seeking arbitration substantially invoked the litigation machinery; (2) the extent of discovery engaged in; (3) the delay in seeking arbitration; and (4) whether the party seeking arbitration knew of its right to arbitrate but chose to litigate instead. (*St. Agnes Med. Ctr. v. PacifiCare of Cal.* (2003) 31 Cal.4th 1187, 1196, overruled in part on other grounds by *Quach, supra*, 16 Cal.5th at 573.) "Unexplained delay in seeking arbitration, while proceeding with litigation in court without mentioning or seeking to preserve the right to arbitrate, constitutes powerful evidence of the relinquishment and abandonment of the right to arbitrate[.]" (*Hofer v. Boladin* (2025) 111 Cal.App.5th 1, 13.)

Here, the Court finds that Defendant has not waived its right to arbitrate. First, Defendant asserted its right to arbitrate as its forty-fourth affirmative defense in its Answer filed on February 9, 2026. (Mitzel Decl. ¶ 11, Ex. D.) This affirmative defense expressly stated that "the written purchase agreements between Defendant and the Plaintiff as well as the Covenants, Conditions & Restrictions ('CC&Rs') applicable to the home owned by Plaintiff expressly provide that any dispute between Plaintiff and Defendant must first be submitted to mediation and, if not settled during mediation, shall thereafter be submitted to binding arbitration." (*Id.*) By asserting this defense from the outset, Defendant put Plaintiff on notice of its intent to enforce the arbitration agreement.

Second, the parties participated in AAA mediation as required by the CC&Rs before this action was filed. (Mitzel Decl. ¶¶ 2–3.) Plaintiff submitted a Request for Mediation to AAA on June 25, 2025. (*Id.* at ¶ 2.) The parties mediated on December 11, 2025. (*Id.* at ¶ 3.) This demonstrates that both parties understood the dispute resolution process set forth in the CC&Rs and attempted to comply with it. Plaintiff filed this action on January 7, 2026, less than one month after the unsuccessful mediation. (*Id.* at ¶ 4.) Defendant's motion to compel arbitration, filed June 25, 2026, seeks to complete the two-step process contemplated by Section 15.5.5(a) of the CC&Rs: mediation followed by arbitration. (Def.'s RJN, Ex. A at § 15.5.5(a).)

Third, the timeline here does not demonstrate the type of unreasonable delay that would constitute intentional abandonment of the right to arbitrate. Defendant filed its Answer on February 9, 2026, and filed its motion to compel on June 25, 2026, approximately 4.5 months later. During this period, Defendant engaged in limited litigation activity: opposing

a motion to strike and demurrer (March 3, 2026), participating in one oral argument (March 16, 2026), and responding to Plaintiff's first set of discovery (June 19, 2026). (See Pl.'s Opp. 3:14–4:11.) These defensive actions do not rise to the level of substantial invocation of the litigation machinery.

Fourth, Plaintiff's argument that Defendant engaged in "659 pages" of discovery responses overstates Defendant's litigation conduct. The bulk of these pages consists of documents produced in response to requests for production (626 pages of documents including subcontractor records, the purchase agreement, warranty history, and the CC&Rs themselves). (See Pl.'s Opp. 3:25–4:3.) Responding to discovery requests does not automatically constitute waiver, especially where, as here, the responding party has asserted arbitration as an affirmative defense and stated its intent to seek enforcement of the arbitration agreement. Indeed, Defendant's discovery responses included a reservation of rights stating that Defendant "INTENDS TO SEEK ENFORCEMENT OF [THE ARBITRATION] AGREEMENT AND AN ORDER COMPELLING ARBITRATION." (See Pl.'s Opp. 3:22–24, Exs. 8–10.)

Finally, the cases cited by Plaintiff are distinguishable. Plaintiff cites *Adolph v. Coastal Auto Sales, Inc.* (2010) 184 Cal.App.4th 1443, for the proposition that a six-month delay supports waiver. However, *Adolph* was decided before *Quach* and applied the now-rejected prejudice requirement.<sup>1</sup> Moreover, even under the pre-*Quach* standard, courts did not find waiver based solely on the passage of time but rather on substantial participation in litigation combined with delay. (See, e.g., *St. Agnes Med. Ctr.*, *supra*, 31 Cal.4th at 1203 [mere participation in litigation, by itself, does not result in a waiver]; *Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 20 [no waiver where defendant's litigation conduct was limited to settlement efforts and de minimis discovery initiated by other parties, despite two-year delay].) Here, Defendant's participation has been limited and defensive. On this record, the Court finds that Defendant has not waived its right to compel arbitration.

## 5. Unconscionability

Plaintiff argues that the arbitration agreement under the CC&Rs is unenforceable because it is both procedurally and substantively unconscionable.

Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 99.) Although both must appear for a court to invalidate a contract or one of its individual terms, they need not be present in the same degree. (*Armendariz*, *supra*, 24 Cal.4th at 114; *Wayne v. Staples, Inc.* (2006) 135 Cal.App.4th 466, 482.) "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Armendariz*, *supra*, 24 Cal.4th at 114.)

### Procedural Unconscionability

---

<sup>1</sup> In *Quach*, the California Supreme Court eliminated the requirement that a party must show prejudice to prove waiver of the right to arbitrate, aligning California law with the United States Supreme Court's decision in *Morgan v. Sundance, Inc.* (2022) 596 U.S. 411.

Plaintiff argues that the CC&Rs constitute an adhesion contract because Defendant used pre-printed, standard CC&Rs that Plaintiff had no opportunity to negotiate. (Compl. ¶ 31.) However, recorded CC&Rs are not “contracts of adhesion” in the traditional sense. Unlike a take-it-or-leave-it contract presented at the point of purchase, CC&Rs are public records that prospective buyers can review before purchasing property. Plaintiff (through his wife) purchased the Property nearly two years after the CC&Rs were recorded, with both constructive and actual notice of the CC&Rs (as the Grant Deed expressly referenced them). Plaintiff was free to purchase property elsewhere if he found the CC&Rs’ terms unacceptable.

Moreover, Plaintiff’s argument conflates the purchase agreement with the CC&Rs. Plaintiff does not allege that the purchase agreement itself contained an unconscionable arbitration clause. Rather, he argues that the CC&Rs, recorded restrictions that run with the land, are unconscionable. California law has long recognized that CC&Rs serve legitimate purposes in regulating common-interest developments and are enforceable against subsequent purchasers. The fact that they are not individually negotiated does not render them procedurally unconscionable. The Court, therefore, finds minimal procedural unconscionability.

#### Substantive Unconscionability

Plaintiff first argues that Defendant has a “special relationship” with AAA, creating substantive unconscionability. (Compl. ¶ 32.) Plaintiff points to several purported irregularities in the mediation process: (a) AAA allegedly gave Defendant a “special discount” on the mediator fee (reducing it from \$10,000 to \$1,200); (b) AAA cut the mediation from a full day to four hours without proper notice to Plaintiff; (c) AAA allowed Defendant to delay scheduling for 52 days; and (d) AAA’s procedures lack transparency and favor Defendant. (Compl. ¶¶ 28, 29, 34.)

These allegations relate to the mediation process, not the arbitration agreement itself. Moreover, Plaintiff’s claims are largely conclusory and unsupported by admissible evidence. The Mitzel Declaration states only that Defendant “paid the mediation fee” and that mediation occurred on December 11, 2025. (Mitzel Decl. ¶ 2.) Plaintiff’s allegations about “special discounts” and “special arrangements” appear in his opposition but are not supported by competent evidence. Thus, this argument is without merit.

Plaintiff further argues that the arbitration agreement is substantively unconscionable because it exposes him to greater fee exposure than he would face in court. However, Plaintiff has not presented evidence regarding the actual fee structure for arbitration under the AAA Home Construction Arbitration Rules or demonstrated that the costs would be prohibitive or excessive compared to litigation.

Section 15.5.5(f) of the CC&Rs provides: “Unless otherwise recoverable by law or statute, each party shall bear its own costs and expenses, including attorneys’ fees and paraprofessional fees, for any mediation and arbitration.” (Def.’s RJN, Ex. A at § 15.5.5(f).) This fee-sharing provision is neutral—each party bears its own costs. Plaintiff has not shown that this provision is substantively unconscionable or that it would expose him to costs exceeding what he would face in court.

Based on the above, the Court finds that Plaintiff has not met his burden of demonstrating that the arbitration agreement is unconscionable.

#### **6. CCP § 1281.97**

Plaintiff argues that Defendant materially breached the arbitration agreement by refusing to pay AAA mediation fees, triggering CCP § 1281.97, which allows a consumer to withdraw from arbitration when the drafting party fails to pay required fees within 30 days. Plaintiff contends that mediation and arbitration are “one continuous action” under the purchase agreement, and Defendant’s failure to pay mediation fees constitutes default under section 1281.97.

Plaintiff’s argument fails for several reasons. First, the evidence shows that Defendant “paid the mediation fee” and that mediation occurred on December 11, 2025. (Mitzel Decl. ¶¶ 2–3.) Plaintiff’s allegations that Defendant refused to pay mediation fees contradict the admissible evidence before the Court. While Plaintiff’s opposition refers to an earlier AAA case (No. 012500026738) that was allegedly closed due to non-payment, the Mitzel Declaration establishes that Defendant paid fees for the mediation that actually occurred on December 11, 2025. (*Id.* at ¶ 2.)

Second, even if there were fee disputes regarding earlier proceedings, section 1281.97 by its terms applies to fees required to initiate arbitration, not mediation. Section 1281.97(a)(1) refers to “fees or costs to **initiate an arbitration proceeding**.” (CCP § 1281.97(a)(1) [emphasis added].) Mediation and arbitration are separate processes, even when conducted sequentially under a single dispute resolution provision. The CC&Rs distinguish between mediation (conducted under AAA’s Home Construction Mediation Procedures) and arbitration (conducted under AAA’s Home Construction Arbitration Rules). (Def.’s RJN, Ex. A at §§ 15.5.5(b)–(c).)

Third, Plaintiff’s argument that mediation and arbitration are “one continuous action” is unpersuasive. While Section 15.5.5(a) requires mediation before arbitration, the two processes remain distinct. Section 1281.97 does not apply to pre-arbitration mediation fees; it applies to fees required to initiate arbitration itself. Since arbitration has not yet been initiated, section 1281.97 is not implicated.

Fourth, to the extent Plaintiff argues that Defendant breached the purchase agreement by refusing to pay mediation fees, that argument is without merit. The instant motion seeks to compel arbitration under the CC&Rs, not under the purchase agreement. Any alleged breach of the purchase agreement does not vitiate the separate, independently recorded CC&Rs.

Accordingly, the Court finds that section 1281.97 does not apply and does not provide a basis to deny the motion to compel arbitration.

#### **7. Stay of Proceedings**

When the FAA governs an arbitration agreement, the Court must stay judicial proceedings pending arbitration. (9 U.S.C. § 3.) Similarly, CCP § 1281.4 provides that once a court orders arbitration of a controversy involved in a pending action, the court shall stay the action until the arbitration is completed. (CCP § 1281.4.) Because all of Plaintiff’s claims

are subject to the arbitration clause in Section 15.5.5(a) of the CC&Rs, a stay of the entire action is appropriate. Accordingly, the Court stays this action pending completion of arbitration.

The Court **GRANTS** Defendant's motion to compel arbitration and stays proceedings pending arbitration. Arbitration to be completed no later than February 5, 2027. The court will set a status hearing on March 4, 2027 at 8:00 a.m., Dept. M205. Remote appearance are allowed for all.

2.

| CASE #      | CASE NAME                               | HEARING NAME                                               |
|-------------|-----------------------------------------|------------------------------------------------------------|
| CVME2600011 | SHU VS LENNAR HOMES OF CALIFORNIA , LLC | MOTION TO COMPEL FURTHER DISCOVERY RESPONSES AND SANCTIONS |

**Tentative Ruling:** Issue is Moot. The court has GRANTED the motion to compel arbitration.

3.

| CASE #      | CASE NAME                              | HEARING NAME                                  |
|-------------|----------------------------------------|-----------------------------------------------|
| CVSW2304205 | MERCURY INSURANCE COMPANY VS BURROUGHS | MOTION TO VACATE DISMISSAL AND ENTER JUDGMENT |

**Tentative Ruling:** Motion unopposed. Motion **GRANTED**.

IT IS ORDERED: 1. Plaintiff's Motion is to Vacate the Dismissal is granted. The dismissal is hereby ordered vacated. 2. Judgment is hereby entered against Defendant OTTO BORROUGHS AKA OTTO THOMPSON BURROUGHS JUNIOR in the amount of \$8,800.00 damages and \$540.00 costs for a total judgment of \$9,340.00. Court to sign the proposed order and the proposed judgment.